

Lifestyle
DIWALI SPECIAL

What's

HOT

This

Diwali

Despite the economic downturn, the festival season promises to be a blast with retail therapy proving the ideal way to beat the blues. A look at the latest and hottest products in the market.

■ By Dillip Bobb

Looking for something to lift your spirits in a time of gloom and doom? How about a jewel-encrusted brassiere from Victoria's Secret for Rs 25 crore? The lingerie company has just launched its most expensive bra ever, studded with thousands of tiny black diamonds and rubies and labelled the Black Diamond Miracle Bra. For those going bust, it is guaranteed to boost flagging assets. Not that the global financial crisis has put a dampener on Diwali celebrations. We Indians tend to splurge seriously on our festivals. It promises to be no different this year with retail therapy being the perfect antidote when feeling stressed. In fact, shopping malls and retail outlets are already crowded with a huge range of new products to mark the festival season.

The Indian retail sector is expanding at an amazing rate. Mall space, from a meagre one million sq ft in 2002, is expected to touch 60 million sq ft by end-2008, says Jones Lang LaSalle's third annual Retailer Sentiment Survey-Asia. The latest report by Images Retail estimates the number of operational malls to more than double the existing number by 2010, many coming up in tier II and tier III cities across India. The real action, however, is very much high end. UB City Mall in Bangalore and the newest mall to open, the swank Emporio Mall in Delhi, finally fulfil the demand by international luxury brands for exclusive retail space under one roof outside five-star hotels. Leading global brands are rapidly

expanding their presence, from Porsche India and Pershing Yachts India to Van Cleef and Arpels, Fendi, Dolce & Gabbana and Stella McCartney.

According to a survey by AT Kearney, India's luxury retail market is estimated to jump from around \$3.5 billion (Rs 17,200 crore) to \$30 billion (Rs 1,47,100 crore) by 2015. The Indian luxury market is estimated to be the 12th largest in the world and has been growing at the rate of 25 per cent per annum. Currently, Indians splurge Rs 14,200 crore on luxury assets, Rs 4,671 crore on luxury services and buy luxury goods worth Rs 1,844 crore. No wonder a number of global luxury brands including Armani, Chanel, Aigner, Jimmy Choo, Bottega Veneta, Tod's, La Pearl, Canali, Paul Smith, Kenzo, Aigner and Just Cavalli have opened shop here. Other luxury brands like Cartier, Hermes, Hugo Boss, Longines and Christian Dior are banking on 30 per cent-plus sales growth in the upcoming festival-cum-wedding season.

It's no surprise that India tops the AT Kearney's annual Global Retail Development Index for the third consecutive year, maintaining its position as the most attractive market for retail investment. Added confirmation comes from a report by PricewaterhouseCoopers which foresees India and China to continue as the top sourcing hubs in retail and consumer sector in the next few years. Slowdown or not, this Diwali is definitely going to be a blast.